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From Developmental State to Platform State: The Case of South Korea's AI Policy

Kyungmin Baek 

Information Sociology, Soongsil University, Seoul, Republic of Korea

Correspondence: Kyungmin Baek (kbaek37@ssu.ac.kr)**Received:** 3 September 2025 | **Revised:** 25 January 2026 | **Accepted:** 25 May 2026**Keywords:** AI policy | developmentalism | governance | platform | South Korea

ABSTRACT

This research note examines South Korea's artificial intelligence (AI) strategy to illustrate the emergence of state platformization—a governance mode where the state acts as a provider of digital infrastructures, data, and standards. Moving beyond traditional developmental models, this study conceptualizes the state as a platform operator that synthesizes post-developmental coordination with neoliberal rationalities. Drawing on theories from Linda Weiss and Mariana Mazzucato, the analysis shows how the Korean state functions as an entrepreneurial risk-taker and catalytic orchestrator. By providing foundational 'operating systems'—such as the Data Dam and high-performance computing resources—while utilizing neoliberal tools like regulatory sandboxes, the state incentivizes private-sector innovation while maintaining strategic autonomy. The Korean case demonstrates that state platformization is a distinctive hybrid formation that reconfigures state-market relations in the digital era, offering critical insights for comparative research across East Asian democracies.

1 | Introduction

Over the past decade, artificial intelligence (AI) has expanded rapidly worldwide, with growth accelerating after 2015 and generating notable applications in sectors such as manufacturing and healthcare. This global diffusion of AI, together with broader processes of digital transformation, has renewed attention to the role of the state in shaping technological change. Traditionally, the state has been understood as a central actor with the autonomy to set national goals and the administrative capacity to mobilize resources (Skocpol 2014), acting either as a regulator that stabilizes market contradictions or as a strategic investor that selectively targets specific industrial sectors to allocate capital (Jessop 1990, 2015). Increasingly, however, the state is emerging as a platform operator, bundling data, computational infrastructures, technical standards, and soft regulations into resources made available to private actors

(Jacobsson 2004; Gorwa 2019). This shift represents a fundamental reconfiguration of state-market relations—moving from a vertical, sector-specific interventionist model to a horizontal, ecosystem-oriented orchestration—which scholars have begun to conceptualize as state platformization (Bloch-Wehba 2019; Rolf and Schindler 2023).

This study examines South Korea's AI policy as a case through which to explore how state platformization materializes in practice. South Korea demonstrates that platformization is not confined to authoritarian regimes with coercive control, but can also take shape in democratic settings where developmental legacies intersect with neoliberal reforms. In this respect, the South Korean case provides a critical vantage point for analyzing the institutional configurations through which state platformization operates.

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2 | Theoretical Development

2.1 | Theoretical Development of Post-Developmentalism

Classic accounts of the developmental state emphasize its policy autonomy and capacity to drive rapid industrialization through coordinated industrial, financial, and trade policies, supported by dense bureaucratic–corporate networks. However, the dual pressures of globalization and neoliberal reform have fundamentally transformed rather than diminished state power. This transition catalyzed ‘post-developmentalism’, an institutional reconfiguration that adapts the state’s strategic ambitions to a market-driven global economy. Post-developmentalism denotes a governance mode in which the state maintains strategic orientation and coordination capacity but deploys market-oriented mechanisms rather than direct control. This hybridity implies that the state’s role is shifting from a centralized director of production to a strategic architect of the broader economic environment. Under this logic, state capacity is no longer measured by direct ownership, but by the ability to provide the institutional and material foundations that catalyze private-sector dynamism. This shift in state capacity is best captured by evolving theories that redefine the state’s functional agency within complex innovation ecosystems.

According to Linda Weiss (1997, 1998), developmental states do not lose their capacity under neo-liberalization; instead, they reconstitute their capacity by acting as catalytic agents that orchestrate domestic and international networks to facilitate innovation. This catalytic role reflects a transition toward ‘governed interdependence’, where the state maintains its strategic influence by positioning itself at the centre of collaborative networks. Furthermore, as Mariana Mazzucato (2013, 2015) argues, the state’s role transcends simple market-fixing; it acts as a lead risk-taker that actively shapes and creates new technological frontiers by investing in the most uncertain phases of the innovation cycle.

By synthesizing these perspectives, the post-developmental state emerges as a dual-purpose actor: a coordinator of decentralized networks and a primary absorber of systemic risks. This theoretical synthesis sets the stage for understanding the state’s evolution into a platform operator in the digital age, where it manages the foundational digital infrastructures necessary for national AI competitiveness.

2.2 | State Platformization as a New Mode of Orchestration

The concept of state platformization has gained increasing scholarly attention in debates on platform capitalism and digital governance. Srnicek (2017) highlights that platforms constitute not simply technical infrastructures but mechanisms of accumulation that organize data flows and reconfigure capitalist logics. Within this landscape, the state-market relationship is being redefined as the state increasingly adopts the role of a platform operator. Specifically, the state assumes a role beyond mere regulation by constructing ‘platform infrastructures’—such as public databases, cloud resources, and technical standards—that enable private actors to innovate and commercialize. Kenney

and Zysman (2016) emphasize that digital platforms represent a new ‘institutional order’ restructuring the economy, wherein the state re-emerges as a central orchestrator. Plantin et al. (2018) extend this analysis to the public sector, demonstrating how the digitalization of state services engenders ‘platformized governance’ that fuses public values with market imperatives.

Building on these perspectives, state platformization represents the digital-age manifestation of the ‘catalytic’ and ‘entrepreneurial’ state functions. As a platform operator, the state operationalizes Linda Weiss’s (1998) notion of the catalytic state by providing interoperable infrastructures and ‘rules of the road’ that orchestrate decentralized networks of private actors through ‘governed interdependence’. Simultaneously, state platformization embodies Mariana Mazzucato’s (2013) entrepreneurial state by positioning the public sector as a lead risk-taker. Rather than merely fixing market failures, the state actively shapes and creates markets by treating information as a ‘national asset’ and socializing the immense costs of foundational digital infrastructures—such as cloud resources and public databases—that undergird subsequent private sector investment. By synthesizing these logics, state platformization emerges as a strategic mode of governance where the state maintains its developmental mission through horizontal orchestration and systemic risk-taking.

3 | The Case of Korea’s AI Policy: The Nexus of De-Centralized Network of Private Actors and a Lead Risk-Taker

South Korea epitomized this model: the ‘Miracle on the Han River’ was underpinned by state-led heavy industrialization, export orientation, and strict financial control under an authoritarian system that privileged growth over political rights (Woo-Cumings 1999). This model was destabilized by the 1997 Asian Financial Crisis. The IMF bailout introduced sweeping neoliberal reforms—financial restructuring, privatization, labour flexibilization, and capital liberalization—that weakened the traditional developmentalist framework. With democratization and globalization further eroding the state’s authoritarian mobilization capacity, neoliberal logics of competition and efficiency became institutionalized across the economy. Yet Korea did not simply become a neoliberal state. Instead, it developed a hybrid governance formation that retained developmentalist legacies while selectively incorporating neoliberal instruments (Hundt 2015; Heo 2015; Schwak 2016). This institutional shift epitomizes the transition toward post-developmentalism, where the state seeks new modes of strategic intervention. Amid the global race for AI, South Korea’s AI policy serves as a paradigmatic case of state platformization, demonstrating how this post-developmental state reconfigures itself into a platform operator to secure national competitiveness. The following sections analyse how the state functions as a platform operator by synthesizing entrepreneurial risk-taking and catalytic orchestration.

3.1 | The State as an Entrepreneurial Risk-Taker: Market-Shaping Through Infrastructure

In this role, the South Korean state acts as a lead risk-taker, absorbing the immense uncertainties and costs associated with

AI innovation to build the foundational material for the private sector. A cornerstone of this approach is the *Data Dam* initiative under the Digital New Deal, which repositioned data as a national strategic asset. By taking on the massive costs of collecting, standardizing, and opening datasets, the state socialized the risks of data accumulation and proactively shaped the market. This provided a foundational data platform that allowed private actors to innovate without the prohibitive initial costs typically associated with large-scale data acquisition (Ministry of Science and ICT 2019).

Furthermore, the state secures strategic frontiers through high-stakes investments in next-generation technologies. The *AI Semiconductor Strategy* and the *Hyper-scale AI Development Strategy* demonstrate how the state invests in uncertain technological horizons where private capital is often hesitant to lead. For instance, providing supercomputing resources as a public good is a clear example of entrepreneurial risk-sharing. By managing these capital-intensive resources, the state lowers the barrier to entry for domestic firms and ensures national competitiveness in the global AI race, effectively acting as a market-shaper rather than a mere market-fixer (Presidential Committee on the Digital Platform Government 2025).

3.2 | The State as a Catalytic Orchestrator: Governed Interdependence and Neoliberal Tools

Moving beyond vertical command-and-control, the state functions as a platform operator that orchestrates decentralized networks and leverages market dynamism as a catalytic tool. *The 2019 National AI Strategy* serves as a primary example of this catalytic roadmap. Rather than employing direct management, the state sets long-term strategic targets—such as training 100,000 AI specialists—to synchronize the efforts of universities, research institutes, and private firms (Ministry of Science and ICT 2019). This illustrates the state's sophisticated capacity to mobilize a broad eco-system under a unified strategic umbrella through vision-setting and coordination.

Crucially, the state strategically deploys neoliberal mechanisms not to retreat from the economy, but to enhance its catalytic influence within the AI ecosystem. *Regulatory sandboxes*, for example, do not signify mere deregulation; instead, they function as institutional platforms designed by the state to allow firms to experiment under controlled market conditions (Office for Government Policy Coordination 2019). Similarly, the *AI Ethics Guidelines* utilize voluntary, non-binding principles to ensure corporate flexibility while keeping private actors within state-defined ethical boundaries, a classic manifestation of governed interdependence (Ministry of Science and ICT 2024). In sector-specific projects like smart factories and healthcare, the government provides the foundational 'operating system' through infrastructure and seed subsidies, while expecting private actors to lead the 'application' layer of commercialization and scaling. This synthesis allows the state to maintain its developmental mission while maximizing market efficiency through horizontal orchestration (Government of South Korea 2020).

Furthermore, the state's capacity to enforce these policies across private actors with varying scales is manifested through its role

as the gatekeeper of essential digital assets. In practice, programs such as AI cloud vouchers and high-performance computing support for SMEs ensure that public infrastructures do not become exclusive domains of large conglomerates (National IT Industry Promotion Agency 2026a, 2026b). By managing access to the 'foundational OS'—including standardized datasets in the Data Dam—the state incentivizes compliance with national technical and ethical standards without relying on traditional coercive measures. This resource-based orchestration mitigates the risk of state capture while ensuring the platform remains an inclusive site of strategic innovation.

4 | Discussion: State Platformization as Hybrid Governance

The trajectory of South Korea's AI policy exemplifies a dual logic that constitutes the institutional foundation of state platformization. It is neither a simple continuation of the traditional developmental state nor a wholesale neoliberal retreat. Instead, it represents a hybrid governance arrangement where the state reasserts its strategic relevance by evolving into a sophisticated platform operator. This evolution is characterized by the strategic fusion of post-developmental coordination with neoliberal rationalities.

On one hand, the state leverages its developmental legacy to orchestrate collective visions and mobilize large-scale resources. By managing the digital 'operating system'—composed of data dams, cloud infrastructures, and technical standards—the state acts as a lead risk-taker that socializes the immense costs of AI development. On the other hand, the state strategically deploys neoliberal instruments, such as regulatory sandboxes and voluntary ethics guidelines, to catalyze market dynamism. In this framework, deregulation and marketization are not signs of state withdrawal; rather, they are 'institutional platforms' designed to foster private-sector innovation while maintaining 'governed interdependence'.

Ultimately, South Korea's AI governance demonstrates that state platformization is an evolutionary institutional formation. By providing foundational infrastructures while enabling market-driven commercialization, the state maintains its 'mission-oriented' drive through horizontal orchestration. This case provides a critical vantage point for understanding how modern democratic states can navigate the digital era: by repositioning themselves from direct producers to central orchestrators of a complex innovation ecosystem.

5 | Conclusion

This study has argued that South Korea's AI policy exemplifies state platformization as a hybrid governance formation that fuses post-developmental coordination with neoliberal rationalities. By demonstrating how the Korean state mobilizes long-term strategic planning and risk-sharing mechanisms alongside deregulation and market autonomy, the analysis underscores that state platformization is not reducible to a singular logic. Rather, it emerges from the strategic articulation of multiple governance principles, positioning the state as a platform

operator that manages the foundational ‘operating system’ of digital capitalism.

Two broader implications follow from this analysis. First, the South Korean case demonstrates that state platformization is a flexible governance mode that transcends specific political systems. It is not confined to authoritarian regimes like China, where platform infrastructures are tied to surveillance and centralized control (Ollier-Malaterre 2023), nor is it limited to the regulatory frameworks of liberal democracies like the European Union (Rascão and Jamil 2021). Instead, it unfolds uniquely in democratic states with developmental legacies, where the state maintains its ‘mission-oriented’ drive through horizontal orchestration. This suggests that comparative research across East Asia—particularly among China, Taiwan, Korea, and Japan—could yield significant insights into the varieties of state platformization, highlighting how diverse institutional traditions recalibrate state-market relations in the digital era. Specifically, such an agenda would investigate how the historically distinct state-business relations of each economy—which once drove diverse developmental pathways—are now being reconfigured into disparate modes of digital orchestration. By examining these divergent trajectories, future research can clarify whether the digital era enforces a convergence toward a single platform logic or, conversely, fosters a path-dependent evolution of the state as a platform operator.

Second, while state platformization facilitates innovation, it also generates new democratic tensions. By positioning the state as a platform provider, critical questions arise regarding transparency, accountability, and public oversight (Mirghaderi et al. 2023). When the state orchestrates infrastructures that structure data flows and algorithmic standards, it may inadvertently privilege corporate actors, potentially weakening citizen participation in shaping technological futures. Thus, state platformization should be examined not only as an adaptive mode of governance but also as a site of contestation over democratic legitimacy.

In conclusion, state platformization represents a fundamental reconfiguration of state power. It is both an enabler of national innovation through hybrid governance and a potential source of institutional tension. Future research should therefore engage in deeper comparative analysis across East Asian cases while simultaneously interrogating the normative consequences of platformized governance for democratic accountability and citizen agency.

Conflicts of Interest

The author declares no conflicts of interest.

Data Availability Statement

Data sharing not applicable to this article as no datasets were generated or analysed during the current study.

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